the market as a whole than they were only a few years ago. They still sell at a rather low ratio to earnings because the influence of the feast or famine idea is still strong, even if it is not as strong as it used to be. If the financial community comes more and more to accept this non-cyclical and growth outlook for machine tool stocks, their price-earnings ratio will improve more and more. They will then do much better than the market. If the old feast or famine concept regains its former hold, these shares will sell at a lower ratio to earnings than prevails today.

“This current machine tool example brings into clear relief what the common stock investor must do if he is to purchase shares to his great-est advantage. He must examine factually and analytically the prevailing financial sentiment about both the industry and the specific company of which he is considering buying shares. If he can find an industry or a company where the prevailing style or mode of financial thinking is considerably less favorable than the actual facts warrant, he may reap himself an extra harvest by not following the crowd. He should be extra careful when buying into companies and industries that are the current darlings of the financial community, to be sure that these purchases are actually warranted—as at times they well may be—and that he is not paying a fancy price for something which, because of too favorable interpretation of basic facts, is the investment fad of the moment.”

Today, of course, we know the answer to the recent ideas of some that the machine tool industry is no longer feast or famine in its nature. The 1957 recession completely exploded the idea that long-range corporate planning now cushions these stocks from their nor-mal extreme vulnerability to downward movements in the business cycle. However, for every problem of this sort which gets solved, the ever-increasing pace of today's technology opens up a dozen others from which the wise investor can profit if he can think independently of the crowd and reach the right answer when the majority of financial opinion is leaning the other way. Are the “exotic” fuel stocks and certain of the smaller electronics intrinsically worth the high appraisals being given them today? Is there such a future for manufacturers of ultrasonic equipment that ordinary price-earnings may be disregarded? Is a company better or worse for the American investor if an abnormally large part of its earning power is derived from foreign operations? These are all